



Decoding Customer Value

A SQL Driven Retention Strategy

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Customer Segmentation

Customers were segmented based on loyalty behavior, promotional dependency, retention potential, and customer value metrics.



VIP Loyalists

Profile

Customers with strong loyalty behavior, high repeat purchasing patterns, and low dependency on discounts.

Behavioral Indicators

- High loyalty scores
- Strong purchase frequency
- High retention potential
- Low promotional dependency

Strategic Value

This segment represents the company's most valuable customer base and contributes sustainable long-term revenue

Strategic Recommendation

- Reduce unnecessary discounts
- Introduce exclusive loyalty benefits
- Offer early product access and premium experiences



Promo Hunters

Profile

Customers who primarily engage during promotional campaigns and demonstrate high price sensitivity.

Behavioral Indicators

- High promo dependency score
- Lower organic demand
- High discount responsiveness

Strategic Value

This segment supports short-term revenue generation but negatively impacts profit margins.

Strategic Recommendation

- Restrict broad discount exposure
- Shift toward targeted campaign-based incentives
- Introduce minimum purchase thresholds for promotions



High Potential Customers

Profile

Customers showing positive behavioral trends with moderate loyalty and strong future retention potential.

Behavioral Indicators

- Improving purchase frequency
- Positive satisfaction scores
- Moderate promotional sensitivity

Strategic Value

This segment represents future high-value loyal customers.

Strategic Recommendation

- Personalized engagement campaigns
- Loyalty acceleration programs
- Product recommendation strategies



At-Risk Customers

Profile

Customers with declining engagement and low retention potential.

Behavioral Indicators

- Low loyalty scores
- Weak purchase consistency
- Declining engagement behavior

Strategic Value

Without intervention, this segment may contribute to future customer churn.

Strategic Recommendation

- Launch proactive re-engagement campaigns
- Offer temporary retention incentives
- Deploy personalized communication strategies



Casual Buyers

Profile

Transactional customers with moderate purchasing activity and weak emotional attachment to the brand.

Behavioral Indicators

- Irregular purchase patterns
- Moderate engagement
- Average customer value

Strategic Recommendation

- Improve engagement frequency
- Encourage subscription enrollment
- Increase product discovery exposure

Key Strategic Insight

The customer base demonstrates a clear divide between organically loyal customers and promotion-driven customers, highlighting opportunities to optimize retention investments and reduce blanket discount dependency.

Key Business Insights

Observation

Business Impact

Recommendation

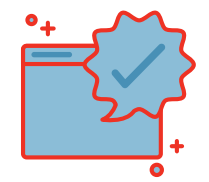


Loyalty Reduces Promo Dependency

Customers with higher loyalty scores consistently showed lower dependency on discounts and promotional incentives.

Strong opportunity to improve margins without materially affecting retention among high-value customers.

Gradually reduce blanket discounts for loyal segments while enhancing exclusivity-based rewards.



Subscription Customers Show Stronger Retention

Subscribed customers demonstrate higher repeat purchase behavior, stronger retention potential and better customer health scores

Subscription adoption acts as a retention stabilizer.

Expand subscription-focused engagement initiatives and subscriber-exclusive experiences.



Promo-Driven Customers Create Margin Pressure

Promo Hunters contribute significant short-term sales but demonstrate low organic purchasing behavior.

Excessive discounting may create unsustainable customer acquisition economics.

Reduce broad promotional exposure and shift toward controlled targeted offers.



Satisfaction Strongly Influences Retention

Higher satisfaction scores strongly correlate with improved loyalty and retention potential.

Customer experience directly influences long-term revenue sustainability.

Improve post-purchase engagement and service quality initiatives.



High-Potential Segment Represents Future Growth

A meaningful group of customers demonstrates improving loyalty and retention metrics.

This segment represents future long-term revenue expansion opportunities.

Deploy targeted nurturing and loyalty acceleration campaigns.

Promotional Sunset Plan



Strategic Objective

Transition from broad promotional dependency toward sustainable loyalty-led retention while protecting customer lifetime value and profitability.



VIP Loyalists

Strategic Action

Gradually reduce generic discount exposure over time

Rationale

These customers already demonstrate strong organic purchasing behavior and do not require aggressive incentives.

Recommended Actions

- Premium loyalty perks
- Early access launches
- Exclusive membership experiences

Risk Level **Low**

KPIs

- Repeat purchase rate
- Customer lifetime value
- Revenue retention



Promo Hunters

Strategic Action

Restrict mass discount campaigns and introduce targeted conditional promotions.

Rationale

This segment is highly price-sensitive and creates margin pressure.

Recommended Actions

- Limited-time offers
- Personalized discounts
- Basket-size conditions

Risk Level **Medium**

KPIs

- Promo dependency reduction
- Margin recovery
- Conversion quality



High Potential Customers

Strategic Action

Increase retention investments through personalized loyalty initiatives.

Rationale

These customers demonstrate strong future growth potential.

Recommended Actions

- Recommendation systems
- Loyalty boosters
- Personalized engagement

Risk Level **Low**

KPIs

- Loyalty score improvement
- Retention growth
- Purchase frequency increase



At-Risk Customers

Strategic Action

Deploy short-term reactivation campaigns.

Rationale

Retention intervention is necessary to prevent churn.

Recommended Actions

- Win-back campaigns
- Targeted incentives
- Personalized reminders

Risk Level **High**

KPIs

- Reactivation rate
- Retention recovery
- Engagement improvement



Sunset Roadmap

Phase 1

Reduce blanket promotions by 10-15%.

Phase 2

Introduce segment-based targeting.

Phase 3

Shift toward loyalty-led retention strategy.

Phase 4

Continuously optimize promotional efficiency through customer analytics.

IDEAL CUSTOMER PROFILE



Organic Loyalist

“Values quality, trusts the brand and prefers meaningful experience”



Age Group - 26–35



Location- Urban



Purchasing Power- Mid-to-High



Customer Type- High-Value Loyalist



Relationship with Brand- Strong Affinity



Behavioral Characteristics

- Monthly or weekly purchasing behavior
- Low dependency on discounts
- Consistent repeat purchasing



Engagement Characteristics

- Active subscription member
- High satisfaction ratings
- Strong brand affinity



Purchase Characteristics

- Mid-to-high average order value
- High product engagement
- Strong category consistency



Value Contribution

- High Customer Lifetime Value (CLV)
- Drives repeat revenue consistently
- Low promotional cost to serve



Strategic Value

This customer generates sustainable long-term revenue while requiring minimal promotional spending. They form the backbone of profitable growth and help strengthen brand equity.



Retention Strategy



Strengthen Exclusivity

Offer member-only benefits, early access, and exclusive product drops.



Increase Personalization

Deliver personalized recommendations and curated experiences.



Introduce Premium Loyalty Experiences

Create tiered loyalty programs with premium rewards and recognition.

Strategic Recommendations



Overall Objective

Build a sustainable retention engine by reducing promotional dependency, strengthening customer loyalty, and leveraging data-driven personalization.



Short-Term Priorities (0-3 Months)

Promotional Optimization

- Reduce mass discount campaigns
- Improve campaign targeting
- Identify high-value customers

Customer Visibility

- Deploy customer segmentation tracking
- Monitor loyalty and retention KPIs

Key Outcomes



- Improved targeting efficiency
- Better customer understanding
- Early identification of high-value customers



Medium-Term Priorities (3-6 Months)

Loyalty Development

- Launch tier-based loyalty programs
- Strengthen subscriber engagement

Personalization

- Improve recommendation systems
- Implement behavior-based targeting

Key Outcomes



- Higher engagement & loyalty
- Increased repeat purchase rate
- Better customer experience



Long-Term Priorities (6-12 Months)

Retention-Led Growth

- Reduce dependency on acquisition discounts
- Strengthen customer relationship management

Advanced Intelligence

- Predictive churn modeling
- AI-driven customer personalization

Key Outcomes



- Sustainable retention-led growth
- Reduced churn & higher CLV
- Data-driven competitive advantage



Strategic Vision

Move from discount-driven acquisition to loyalty-driven retention by combining customer intelligence, personalization, and long-term engagement.



Implementation Roadmap

A strategic execution roadmap to shift from promotion-driven growth to loyalty-driven, sustainable customer retention

Phase 1

Customer Intelligence

Identify high value, high risk and high potential customer segments

Key Actions

- Consolidate customer data from multiple sources
- Build customer segmentation models
- Identify high value, high risk and high potential segments
- Develop customer insights dashboard



Key Outcome
Clear visibility into customer segments and their value potential

Phase 2

Promotional Optimization

Reduce broad discounting and improve targeting efficiency

Key Actions

- Analyze promo performance by segment
- Reduce blanket promotions
- Implement targeted, data-driven offers
- Optimize campaign ROI and budget allocation



Key Outcome
Improved promotional efficiency and lower discount dependency

Phase 3

Loyalty Transformation

Launch retention and loyalty-focused engagement programs

Key Actions

- Launch tier-based loyalty programs
- Introduce subscriber-exclusive benefits
- Create personalized engagement journeys
- Strengthen community and brand affinity



Key Outcome
Stronger customer loyalty and higher retention rates

Phase 4

Continuous Optimization

Track performance metrics and refine retention strategies continuously

Key Actions

- Monitor KPIs and segment performances
- Use analytics for ongoing insights
- A/B test and optimise strategies
- Iterate and scale successful initiatives



Key Outcome
Sustained improvement in retention, CLV, and profitability

CROSS-FUNCTIONAL EXECUTION AREAS

Marketing | CRM | Product Strategy | Customer Experience | Business Analytics



Overall Goal:

Build a data-driven, customer-centric ecosystem that maximizes lifetime value and drives sustainable business growth



Success Metrics & KPI Framework

Balanced KPI Scorecard to measure retention effectiveness, improve profitability, and drive sustainable customer growth.



CUSTOMER METRICS

Retention Rate

Percentage of customers retained over a defined period.

Repeat Purchase Rate

Percentage of customers making multiple purchases.

Loyalty Score Growth

Increase in average loyalty score over time.

Customer Lifetime Value (CLV)

Total revenue expected from a customer throughout their relationship.



FINANCIAL METRICS

Promotional Spend Reduction

Decrease in overall promotional spend over time.

Margin Improvement

Increase in gross margin percentage.

Revenue Retention

Percentage of revenue retained from existing customers.



CUSTOMER METRICS

Subscription Growth

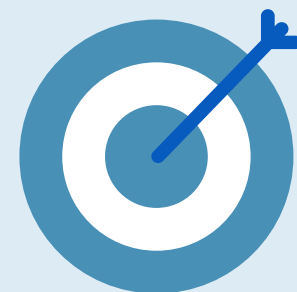
Growth in number of active subscribers.

Customer Satisfaction Improvement

Increase in customer satisfaction (CSAT) scores.

Organic Demand Growth

Increase in purchases without promotional influence.



Increase the proportion of organically loyal customers while reducing revenue dependency on blanket promotions.

Strategic Success Indicator

Current State

High Promo Dependency

60%



Organic Loyal Customers

40%



Target State

High Promo Dependency

30%



Organic Loyal Customers

70%



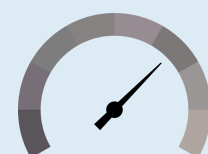
Higher profitability



Stronger customer loyalty



Sustainable long-term growth



How We Measure Success

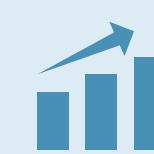
These KPIs will be tracked continuously through dashboards and business reviews to support data-driven decision-making and long-term strategy optimization.



Data-Driven Insights



Actionable Decisions



Continuous Improvement



Thank You